P3 — BUSINESS MODEL CANVAS

From business idea to a coherent business model

CREATE • DELIVER • CAPTURE VALUE

P3 — BUSINESS MODEL CANVAS

From business idea to a coherent business model

Business Model ? is

The way the company is structured to generate and capture value

So….

when we think of "a business" we are ultimately thinking of a Business Model and how we will combine the means to deliver value to the relevant stakeholders and capture value for the organization

A product or a service are **not** *business models*

What is a business model?

A practical starting point for analysing how an organisation creates and captures value.

CREATE VALUE

What value do we offer, and for whom?

DELIVER VALUE

How do we organise the means, activities and relationships needed to deliver it?

CAPTURE VALUE

How does the organisation obtain revenue, resources or other forms of return?

A product or service is not a business model

PRODUCT / SERVICE

The offering provided to a customer or stakeholder.

Examples: an airline ticket, a software subscription or a consulting service.

BUSINESS MODEL

The system connecting customers, value proposition, channels, relationships, resources, activities, partners, costs and revenues.

The business model starts with stakeholders

CUSTOMERS

Who pays, uses or benefits?

PARTNERS

Who helps us create and deliver value?

SUPPLIERS & OTHERS

Who provides critical inputs, capabilities or access?

What means do we need?

A business model combines different means to satisfy stakeholder needs.

Capital

Financial resources

People

Skills and capabilities

Knowledge

Data, know-how and IP

Equipment

Physical and digital assets

Technology

Platforms, systems and tools

The key question: what do we choose?

A business model is the deliberate combination of means, activities and relationships

to create, deliver and capture value.

Questions every business model must answer

- Who are our customers?
- What do they value?
- How do we reach them?
- How do we build the relationship?
- What activities and resources are critical?
- Which partners do we need?
- How do we generate revenue?
- What does the model cost?

Business Model Canvas

A practical, visual and participatory template.

KEY PARTNERS	KEY ACTIVITIES	CUSTOMER RELATIONS	CUSTOMER SEGMENTS	COST STRUCTURE
Who helps us?	What must we do?	How do we interact?	For whom?	What does it cost?

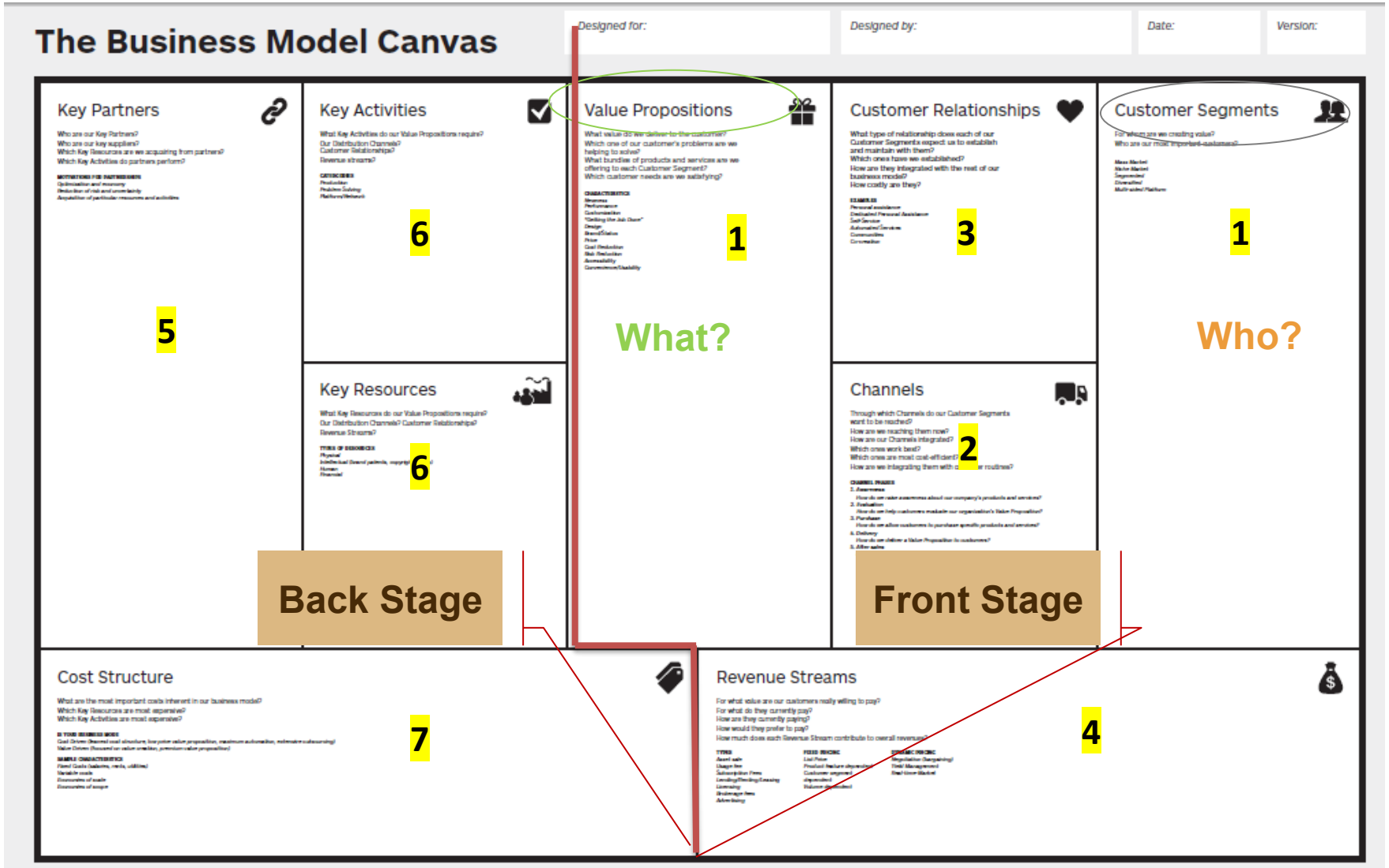
KEY RESOURCES	VALUE PROPOSITIONS	CHANNELS	REVENUE STREAMS
What must we have?	What value do we create?	How do we reach customers?	How do we capture value?

A systematized and practical way is to use a Business Model creation template

CANVAS Model

Short and Synthetic. Graphic and visual. Participatory. Easy repetition of the reflection exercise.....

Business Model Canvas



Source: Alexander Osterwalter & Yves Pigneur; Criar Modelos de Negócio. D. Quixote (2011)

Two perspectives: Front Stage & Back Stage

FRONT STAGE

Customer-facing logic

- Customer Segments
- Value Propositions
- Channels
- Customer Relationships
- Revenue Streams

BACK STAGE

Operational logic

- Key Resources
- Key Activities
- Key Partners
- Cost Structure

Customer Segments

Example-based discussion

Wealthy men in love with cars

Start with a clear segment and its specific needs.

Customer Segments



For whom are we creating value?
Who are our most important customers?

Mass Market
Niche Market
Segmented
Diversified
Multi-sided Platform



Value Proposition

Example-based discussion

Innovative products with quality, differentiated design and simplicity

The value proposition should explain why the offer matters.

Value Propositions

What value do we deliver to the customer?
Which one of our customer's problems are we helping to solve?
What bundles of products and services are we offering to each Customer Segment?
Which customer needs are we satisfying?

CHARACTERISTICS
Newness
Performance
Customization
"Getting the Job Done"
Design
Brand/Status
Price
Cost Reduction
Risk Reduction
Accessibility
Convenience/Usability



Innovative products with quality and differentiated design and simple to use

Channels

Example-based discussion

Agencies, segmented commercial network, partners, promoters and online

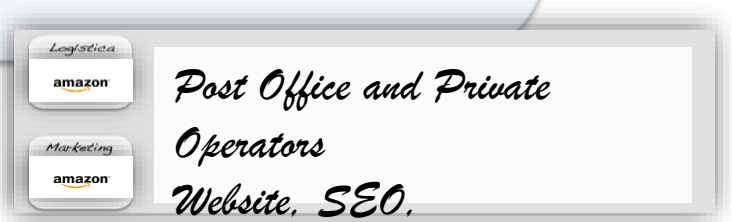
Channels connect the value proposition with the customer.

Website, SEO, sponsored links and online advertising

Combine owned, paid and partner channels.

Channels

Through which Channels do our Customer Segments want to be reached?
How are we reaching them now?
How are our Channels integrated?
Which ones work best?
Which ones are most cost-efficient?
How are we integrating them with customer routines?



Post Office and Private Operators
Website, SEO, Sponsored Link and online advertising

Revenue Streams

Example-based discussion

Airline tickets, cargo transport, car and hotel reservations

One business model may combine several revenue streams.

Revenue Streams



For what value are our customers really willing to pay?
For what do they currently pay?
How are they currently paying?
How would they prefer to pay?
How much does each Revenue Stream contribute to overall revenues?

TYPES	FIXED PRICING	DYNAMIC PRICING
Asset sale	*List Price*	*Negotiation (bargaining)*
Usage fee	*Product feature dependent*	*Yield Management*
Subscription Fees	*Customer segment dependent*	*Real-time-Market*
Lending/Renting/Leasing	*Volume dependent*	
Licensing		
Brokerage fees		
Advertising		

Emirates

Airline ticket sales, cargo transport, car and hotel reservations

Key Activities

Example-based discussion

Develop and produce programmes, sell advertising and search for new talent

Identify activities essential to the value proposition.

Key Activities

What Key Activities do our Value Propositions require?
Our Distribution Channels?
Customer Relationships?
Revenue streams?

CATERGORIES
Production
Problem Solving
Platform/Network

TF1

Elaborate programs, produce programs, sell advertising, and search for new talent

Example: platform-based business model

KEY RESOURCES

User base
Team
Servers
Platform

Key Resources

What Key Resources do our Value Propositions require?
Our Distribution Channels? Customer Relationships?
Revenue Streams?

TYPES OF RESOURCES
Physical
Intellectual (brand patents, copyrights, data)
Human
Financial

KEY PARTNERS

Suppliers
Technology partners
Distribution / franchise partners

Key Partners

Who are our Key Partners?
Who are our key suppliers?
Which Key Resources are we acquairing from partners?
Which Key Activities do partners perform?

MOTIVATIONS FOR PARTNERSHIPS
Optimization and economy
Reduction of risk and uncertainty
Acquisition of particular resources and activities

COST STRUTURE

Scale the platform
Create network value
Monetise interactions

Cost Structure

What are the most important costs inherent in our business model?
Which Key Resources are most expensive?
Which Key Activities are most expensive?

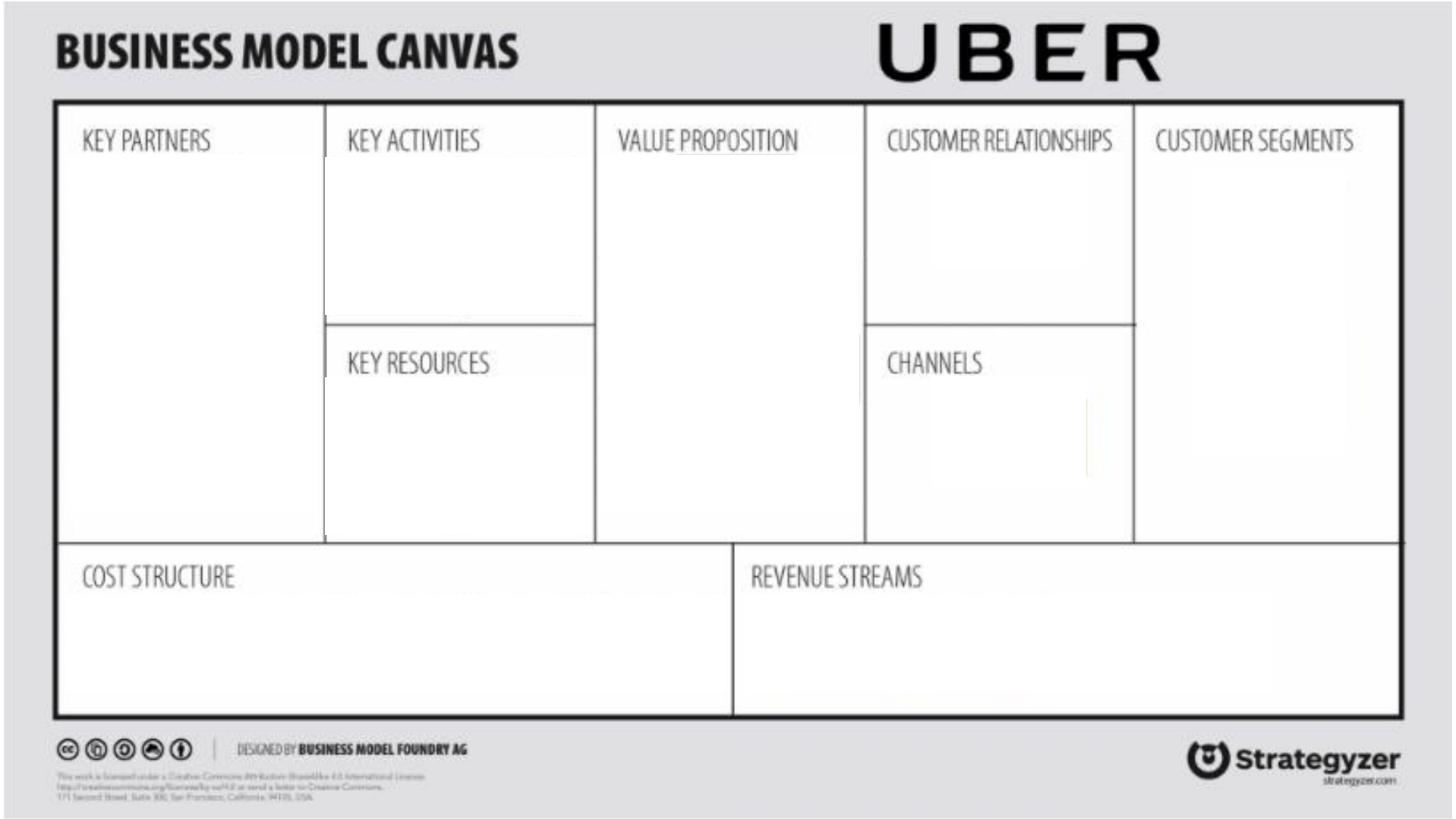
IS YOUR BUSINESS MORE
Cost Driven (leanest cost structure, low price value proposition, maximum automation, extensive outsourcing)
Value Driven (focused on value creation, premium value proposition)

SAMPLE CHARACTERISTICS
Fixed Costs (salaries, rents, utilities)
Variable costs
Economies of scale
Economies of scope

User base, team, servers and platform

Suppliers and franchisees

Aircraft, aircraft maintenance, fuel, marketing, employees, call center, and IT systems



Source: Alexander Osterwalter & Yves Pigneur; Criar Modelos de Negócio. D. Quixote (2011)

Nonprofit Business Model Canvas

The logic becomes more stakeholder- and mission-focused.

STAKEHOLDERS

Who?

Donors, beneficiaries, volunteers, partners, communities and other stakeholders.

SOCIAL VALUE

What & Why?

What social value is created and for whom?

VALUE CAPTURE

How?

How does the organisation obtain the resources needed to sustain its mission?

Nonprofit Canvas — adapted logic

STAKEHOLDERS

Key questions to investigate

SOCIAL VALUE PROPOSITION

Key questions to investigate

KEY PARTNERS

Key questions to investigate

KEY ACTIVITIES

Key questions to investigate

KEY RESOURCES

Key questions to investigate

RELATIONS

Key questions to investigate

CHANNELS

Key questions to investigate

COST STRUCTURE

Key questions to investigate

VALUE CAPTURE

Key questions to investigate

Questions for a nonprofit model

- What value are stakeholders truly willing to return or contrib
- Which routines and processes do they prefer?
- What mission-related milestones define progress?
- What does it really cost to run the operations?
- Which resources and activities are most expensive?
- How do we sustain the model over time?

From business idea to business model

Use the Canvas to make the logic visible, test assumptions and iterate.



BUSINESS MODEL CANVAS - NESPRESSO

https://www.youtube.com/watch?v=C1rSrHTz-Tk

From business idea to business model

Use the Canvas to make the logic visible, test assumptions and iterate.

IDEA → HYPOTHESES → CANVAS → TEST → LEARN → ITERATE

The Canvas is a thinking tool — not a substitute for evidence.